

**Time:** 5 minutes**Outcome:** Separate the natural unemployment benchmark from business-cycle unemployment**Difficulty:**

Intermediate

Natural Rate of Unemployment



THE CORE IDEA

The natural rate of unemployment is the unemployment that remains when the economy is operating near its normal long-run level. It includes frictional unemployment from ordinary job search and structural unemployment from mismatches between workers and available jobs. It excludes cyclical unemployment caused by recessions or unusually strong expansions. Actual unemployment can move above or below the natural rate over the business cycle. Cyclical unemployment equals actual unemployment minus the natural rate. The natural rate can also change as demographics, labor-market institutions, matching technology, or persistent skill mismatches change.



HOW TO RECOGNIZE IT

- Frictional and structural unemployment are combined into a long-run benchmark.
- A recession pushes actual unemployment above the benchmark.
- An unusually tight labor market pushes actual unemployment below the benchmark.
- Job matching, worker skills, demographics, or institutions change over time.
- The problem asks for the gap between actual and natural unemployment.



WATCH OUT

The natural rate is neither zero nor permanently fixed. Workers still search for jobs and industries still change in a healthy economy. A temporary recession raises cyclical unemployment, not automatically the natural rate; however, lasting skill loss or labor-force detachment can eventually raise structural unemployment and the natural rate.



WORKED EXAMPLE: FINDING CYCLICAL UNEMPLOYMENT

Suppose actual unemployment is 7% and the natural rate is 5%. Cyclical unemployment = $7\% - 5\% = 2$ percentage points. The positive gap indicates recession-related unemployment on top of normal frictional and structural unemployment. If demand recovers and the natural rate remains 5%, actual unemployment should move back toward 5%. It need not fall to zero because normal job search and skill mismatch remain.



CHECK YOURSELF

A job-matching platform shortens job searches, but a major industry shift leaves many workers without the skills employers need. How could each change affect the natural rate?

**READY?**

Return to the game and master this concept.